

Table 47.1 Identification Guidelines

Characteristic	Discussion
Appearance	Price rises in a straight-line run upward in the first leg, pauses and retraces in the corrective phase, and resumes the uptrend in the second leg. The combination looks like a stair-step rise.
First leg	Price often follows a channel upward before entering the corrective phase. The first leg is a strong, straight-line push upward.
Corrective phase	Price declines, usually between 40% to 60% of the first leg move, before heading upward again. The retrace is usually proportional to the first leg rise: Large retraces follow large rises. Sometimes the corrective phase resembles a saw-tooth pattern (a few sharp rises and declines in a row) before price breaks away and zooms upward. This saw-tooth pattern usually associates with a long price climb leading to the measured move.
Second leg	Price rises, loosely following the slope of the trendline set by the first leg. Price commonly fits inside a channel as it rises, but this behavior is not a prerequisite.
Avoid	Avoid patterns where the retrace travels too far down the first leg. Anything beyond an 80% retrace is too far and too risky to invest in.